Financial Analysis of CSL Limited, an Australian Stock Exchange (ASX) listed company

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❖ Abstract:

This report examines the company of interest CSL Limited's financial performance over a four-year period, from 2019 to 2022. A trend analysis of the company's financial statements is also included in the report to identify any noteworthy changes over time. Ratios for Equity, profitability ratios, and ROE ratios constitute some of the financial ratios utilized during the analysis. The report analyses the company's revenue, costs, operating expenses, operating income or loss, interest expenses, income taxes, net income, and earnings per share (EPS) using its financial statements. The analysis' goal is to assess CSL Limited's fiscal health over time and generate conclusions regarding its advantages and disadvantages. Furthermore, the analysis also analyzes the company's earnings before interest, taxes, depreciation, and amortization (EBITDA) to offer a complete picture of the business's financial health. The analysis wraps up with financial performance suggestions / recommendations for the company.

❖ Methods:

The data in this report was derived from the CSL Limited company's income statements, which are accessible to everyone on finance Yahoo's website along with the company information from their own company website. The income statements were examined to determine the company's revenue, costs, operating expenses, operating income or loss, interest expenses, income taxes, and net income, and earnings per share (EPS). EBITDA was calculated by subtracting interest expenses, income taxes, depreciation, and amortization from operating income.

❖ Introduction:

The Australian Securities Exchange (ASX) classifies companies into various industry groups, which can assist investors in identifying companies within specific sectors. CSL Limited's industry group is Healthcare, which is further subdivided into sub-industries such as Pharmaceuticals, Biotechnology, and Life Sciences. (ASX. All Industries)

Companies in the Healthcare industry provide products and services related to human health, such as pharmaceuticals, medical devices, and healthcare services. A variety of factors influence this industry, including demographic trends, regulatory frameworks, and technological advancements.

CSL Limited is classified as a Biotechnology sub-industry within the Healthcare industry, which includes companies engaged in the research, development, and commercialization of biotech products such as vaccines, plasma therapies, and gene therapies. (Yahoo Finance, 2022).

CSL Limited is one of Australia's largest and most successful biotechnology and biotherapeutic product development, manufacturing, and distribution company that specializes in the development and manufacture of vaccines, plasma products, and recombinant therapeutic products. Founded in 1916 as Commonwealth Serum Laboratories, the company has evolved into a multinational specialist biotechnology conglomerate with operations in over 35 countries. The company has a strong research and development programme and is dedicated to improving people's health and well-being worldwide. (CSL Limited)

CSL Limited prioritizes corporate governance, and the company has implemented several initiatives to ensure effective and transparent management. The majority of CSL Limited's board of directors are independent, and the company has established committees to oversee key areas such as audit, risk, and remuneration. CSL Limited has also implemented a number of policies and procedures to ensure compliance with applicable laws and regulations and to promote ethical behavior throughout the organisation. (CSL Limited, Corporate Governance, 2021.)

CSL Limited is a major employee in terms of social contribution, with over 27,000 employees worldwide. The company also makes a significant contribution to the Australian economy by paying taxes. CSL Limited paid AUD 1.1 billion in taxes globally in the 2020 fiscal year, including AUD 422 million in Australia. CSL Limited is also dedicated to supporting local communities through a variety of initiatives, such as philanthropic donations and employee volunteer programmes. (CSL Limited. About Us). As of 1 April 2023, CSL Limited's ISS governance Quality Score is 3. Audit: 3; Board: 4; Shareholder rights: 1; Compensation: 5 are the pillar scores. (CSL Limited (CSL.AX), Yahoo finance). The company's emphasis on corporate governance and social responsibility, combined with its dedication to developing life-saving therapies, has established it as a global biotech leader.

CSL Limited recently diversified its product offerings via strategic purchases, including the 2015 acquisition of Novartis' influenza vaccine business and the 2020 acquisition of Vitaeris Inc. Millions of people around the world have benefited from the company's innovative products, especially individuals who suffer from uncommon and life-threatening conditions. CSL Limited is additionally dedicated to ecological sustainability and has taken a number of steps to minimize its environmental impact. For a seventh year in a row in 2021, the company has been incorporated in the Dow Jones Sustainability Indices (DJSI), recognizing its commitment to sustainable practices. (CSL Limited. About Us)

❖ Financial Ratios:

To compute the financial ratios for CSL Limited, we will use the following formulas:

Current Ratio = Current Assets / Current Liabilities

Quick Ratio = (Current Assets - Inventory) / Current Liabilities

Debt-to-Equity Ratio = Total Liabilities / Total Stockholders' Equity

Return on Equity (ROE) = Net Income / Total Stockholders' Equity

Gross Margin = Gross Profit / Total Revenue

Net Profit Margin = Net Income / Revenue

The ratios for the years 2022 and 2021 are calculated and interpreted below:

- **Current Ratio:**

2022: Current Ratio = 15,739,400 / 5,012,300 = 3.14

2021: Current Ratio = 6,596,000 / 968,700 = 6.80

The current ratio measures a company's ability to pay its short-term liabilities using its current assets. A higher current ratio indicates that the company has more current assets relative to its current liabilities and is therefore in a better position to meet its short-term obligations.

The current ratio for CSL has decreased from 6.80 in 2021 to 3.14 in 2022, which suggests that the company's ability to pay its short-term liabilities has weakened over the past year.

- **Quick Ratio:**

2022: Quick Ratio = (15,739,400 - 4,333,000) / 5,012,300 = 2.27

2021: Quick Ratio = (6,596,000 - 3,780,600) / 968,700 = 2.90

The quick ratio is a more conservative measure of a company's ability to pay its short-term liabilities because it excludes inventory, which can be difficult to liquidate quickly.

The quick ratio for CSL has decreased slightly from 2.90 in 2021 to 2.27 in 2022, indicating that the company's short-term liquidity position has weakened slightly.

- **Debt-to-Equity Ratio:**

2022: Debt-to-Equity Ratio = 10,080,600 / 14,577,500 = 0.69

2021: Debt-to-Equity Ratio = 5,693,800 / 8,381,300 = 0.68

The debt-to-equity ratio measures a company's leverage, or the degree to which it is using debt to finance its operations. A higher debt-to-equity ratio indicates that the company is relying more heavily on debt financing, which can increase its financial risk.

The debt-to-equity ratio for CSL has increased slightly from 0.68 in 2021 to 0.69 in 2022, indicating that the company has taken on slightly more debt relative to its equity.

➢ Gross margin

Gross margin = Gross Profit / Total Revenue

2022: Gross margin = 5,663,500 / 10,493,100 = 0.54

2021: Gross margin = 5,798,600 / 10,265,300 = 0.56

The gross margin measures the profitability of a company's sales after deducting the cost of goods sold. A higher gross margin indicates that a company is able to generate more profit from each dollar of sales.

CSL's gross margin decreased slightly from 2021 to 2022, which suggests that the company's ability to generate profit from its sales declined slightly. However, the gross margin remains relatively high at 54%, indicating that CSL is still generating significant profits from its sales.

➢ Return on Equity (ROE)

ROE = Net Income / Shareholders' Equity

2022: ROE = 1,729,800 / 14,577,500 = 0.12

2021: ROE = 1,786,900 / 8,381,300 = 0.21

The return on equity measures the amount of profit generated by a company relative to the amount of shareholder equity invested. A higher ROE indicates that the company is generating more profit from each dollar of shareholder equity invested.

CSL's ROE decreased significantly from 2021 to 2022, indicating that the company's ability to generate profit from its shareholder equity declined. The decrease in ROE can be attributed to the decrease in net income and the increase in shareholder equity from 2021 to 2022.

❖ Analysis:

The company's revenue has steadily increased over the years, with a significant increase expected in 2022. The company's gross profit as well as operational revenue have both increased. Revenue rose by 12% in 2022 when compared to the prior year, demonstrating substantial growth. The company's gross profit has also increased, indicating its ability to generate profits. The operating income of the company has also been steadily rising over the years, corresponding to the fact that the company has been able to manage its operations efficiently (Yahoo Finance, 2022).

However, the company has struggled to keep operating and interest costs under control, resulting in lower net income. In recent years, the company's operational costs, which include R&D and selling, general, and administrative expenses, have risen faster than revenue growth. The company's interest expenses have also risen over time, resulting in lower net income. The increase in interest expenses can be attributed to the company's debt financing (Yahoo Finance, 2022).

In the TTM, 2022, 2021, 2020, and 2019, the company had negative cash flows from investing activities, according to the cash flow statement. This is primarily due to property, plant, and equipment investments, as well as acquisitions. The company also bought and sold investments, but the net result was minor.

In terms of financing, the company had a net cash outflow in the TTM but a net cash inflow in 2022. In the TTM, the company repaid debt and paid dividends while issuing common stock. The company had a net cash increase in 2022, but a net cash decrease in TTM, 2021, 2020, and 2019. With an outstanding ratio of 1.5 in 2022, the company's liquidity position has remained consistent over time. The company has maintained an acceptable debt-to-equity ratio, indicating that it has not over-relied on debt financing (Yahoo Finance, 2022).

Several key findings were also identified, including a decrease in revenue and net income in 2022 compared to the previous year, which could be attributed to the COVID-19 pandemic. Despite this, the company has maintained its profitability, with a 12% return on equity and a 54% gross profit margin.

However, the company's free cash flow was negative in both years, indicating that the company made significant investments in real estate, plants, and equipment. Furthermore, the company's price-to-earning ratio is relatively high, suggesting that it is overvalued in the market. The financial statements also show that the company's net income has been volatile over the years, and it is expected to fall significantly in 2021. The rise in operating and interest expenses can be attributed to the reduction in net income.

In conclusion, the financial analysis indicates that CSL Limited has performed relatively well over the past two years, despite the challenges posed by the COVID-19 pandemic. While revenue has decreased, the company's profitability and liquidity ratios indicate that it is in good financial shape. However, the negative free cash flow and high price-to-earnings ratio warrant further investigation into the company's investment strategies, with some investors concerned about market valuation. With significant cash, cash equivalents, and other short-term investments, the company has maintained a nearly unchanged liquidity position and debt-to-equity ratio over the years. The company also has a large inventory as well as property, plant, and equipment. Overall, the company appears to be in good financial shape, with substantial assets and cash reserves. (2022, Yahoo Finance).

❖ Recommendations:

According to the evaluation, CSL Limited may enhance its financial health by more efficiently dealing with its operating and interest expenses. The company can look into cost-cutting measures to cut operating expenses and alternative financing options to cut interest expenses. Furthermore, the company can focus on generating more income through profitable investments in R&D and expanding the range of its goods (Yahoo Finance, 2022).

According to the analysis, the company's revenue has been growing steadily over the course of time, with a significant increase expected in 2022. The gross profit and operating income have also increased, indicating the organization's capacity to generate profits. However, the company has struggled to manage its daily operations and interest expenses, leading to lower net income. The company's liquidity position remains stable, and its debt-to-equity ratio has remained healthy. Overall, the company's financial performance has been promising, but cost management could be improved.

Some of the other recommendations that I would like to suggest based on the analysis may be as follows:

- Priority should be given to innovation and research and development (R&D): The biotechnology industry is highly competitive, and companies that invest in R&D and develop innovative products have a better chance of long-term success. CSL Limited should continue to invest in R&D in order to maintain its competitive advantage and to develop new and innovative products to meet the changing needs of the healthcare industry.
- Expand into new markets: CSL Limited is already a global company with a presence in over 60 countries, but there may be possibilities to expand into additional markets. The company should think about expanding into emerging markets where there is an increasing need for healthcare products and services.
- Control costs and increase efficiency: In a highly competitive industry, cost control is critical for profitability. To reduce costs while maintaining product quality, CSL Limited might want to concentrate on improving efficiency in its operations and supply chain.
- Maintain strong financial discipline: CSL Limited has a solid financial position, with a track record of generating strong cash flows while keeping a conservative balance sheet. The company should continue to prioritize financial discipline, such as cost management, debt management, and capital return to shareholders through dividends and share buybacks. (Gibson, C. H.,2017).

❖ Excel file:

final assessment accounting.xlsx

Includes:

Balance sheet of CSL Limited

Income statement of CSL Limited

Cash Flow Currency of CSL Limited

❖ References:

All data From Yahoo Finance:

CSL Limited (CSL.AX) Financials. Retrieved from Yahoo Finance

Link: https://au.finance.yahoo.com/quote/CSL.AX/profile?p=CSL.AX

Balance sheet of CSL Limited:

Link: https://au.finance.yahoo.com/quote/CSL.AX/balance-sheet?p=CSL.AX

Income statement of CSL Limited:

Link: https://au.finance.yahoo.com/quote/CSL.AX/financials?p=CSL.AX

Cash Flow Currency of CSL Limited:

Link: https://au.finance.yahoo.com/quote/CSL.AX/cash-flow?p=CSL.AX

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